Notes could be exchanged for only three days, i.e., 23–25 January. Each person was allowed to exchange up to 1,000 roubles. After that, only special commissions had the right to allow the exchange of larger sums until the end of March 1991.

Long lines of people immediately formed at savings banks. The demonetization was described as a 'cruel blow to honest citizens' as their lifelong savings, often as much as 15,000–30,000 roubles (a fortune in the erstwhile Soviet Union), vanished overnight. While the demonetization invalidated one third of the money in circulation, almost 14 billion roubles, or 10.5 per cent of the entire money supply, was confiscated from citizens through this step.

By April 1991, food, transport and utilities prices had risen from 100 to 300 per cent. The standard of living in the country plummeted, as hyperinflation took hold. GDP fell by 20 per cent compared with 1990, and the budget deficit reached an estimated 20–30 per cent of the GDP. By the end of 1991, the economy of the USSR was in shambles.

The 1991 demonetization undermined the people's trust in the Kremlin and caused a complete loss of confidence in both the government and in President Gorbachev. He faced a coup attempt that August which destroyed his authority and led to the breakup of the Soviet Union in the following year.

1993: On 24 July 1993, the new Russian government, headed by Boris Yeltsin, announced a demonetization of all banknotes issued prior to January 1993. Citizens were given two weeks, until 7 August, to exchange up to 35,000 roubles (equivalent now to only US$ 34) for new notes.

All other savings could be deposited into a State Savings bank, but would be frozen there for six months at a low rate of interest. Foreigners could exchange no more than 15,000 roubles of old notes. Those Russians, who were outside the country during this period could exchange their notes later, if they were able to prove they were away from the country. As the country started to panic, President